# 📝 BUS 4101: E-Commerce Class Test Quick Review

**Focus:** Classes 01–03 | JUST Dept. of CSE

## 1. Core Definitions & Distinctions

- **E-Commerce:** The process of buying/selling goods, services, and info over electronic networks (primarily the Internet). Focus is on **transactions**.
- **E-Business:** The broader operational use of digital technology to optimize *all* business processes (Internal ERP, HR, etc.).
  - *Exam Tip:* **E-Commerce is a subset of E-Business.** All E-Commerce is E-Business, but not the other way around.

## 2. The 8 Unique Features of E-Commerce 100%

*Memorize these definitions and examples for MCQ/Short Answer:*

1. **Ubiquity:** Available everywhere, 24/7 (e.g., shopping on Daraz at 2 AM).
2. **Global Reach:** Crosses boundaries (e.g., selling BD handloom to Germany via Etsy).
3. **Universal Standards:** Shared technical standards (HTTP/HTML) reduce entry costs.
4. **Richness:** Complex content (video/audio/animation) improves product messaging.
5. **Interactivity:** Two-way communication (Chatbots/Product configurators).
6. **Information Density:** More info available to all (Price comparison sites like Shopper.com.bd).
7. **Personalization/Customization:** Targeting specific users (Amazon's "Customers who bought this...").
8. **Social Technology:** User-generated content/sharing (Facebook Marketplace/Instagram Shops).

## 3. Revenue Models (How firms make money)

| Model | Mechanism | Examples |
|---|---|---|
| Advertising | Charging to reach a large user base | Google Ads, Facebook, YouTube |
| Subscription | Fixed recurring payments | Netflix, Spotify, LinkedIn Premium |
| Transaction Fee | Commission per sale | **Daraz (3-10%)**, Upwork, bKash |

| | | |
|---|---|---|
| **Freemium** | Free base + paid premium | Zoom, Dropbox, Spotify Free/Premium |
| **Affiliate** | Commission for referral traffic | Amazon Associates, Daraz Affiliate |
| **Sales (E-tail)** | Direct product margin | **Chaldal**, Apple.com |

## 4. Industry Dynamics & Growth Laws

- **Metcalfe's Law:** The value of a network is proportional to the square of the number of users ($V \propto n^2$).
  - *Calculation Tip:* If users double ($2x$), value quadruples ($4x$).
- **Disintermediation:** Removing the middleman (e.g., Artists selling directly on Spotify).
- **Re-intermediation:** Creating *new* digital middlemen (e.g., Booking.com replacing travel agents).
- **Network Effects:** Service becomes more valuable as more people join (Direct: WhatsApp; Two-sided: Uber riders/drivers).
- **The Long Tail:** Aggregating demand for niche products that wouldn't survive in physical stores.
- **Winner-Takes-All:** Network effects lead to dominant players (Google 93% Search, Daraz dominant in BD).

## 5. Value Chain (Porter's Model)

- **Primary Activities:** Inbound Logistics → Operations → Outbound Logistics → Marketing & Sales → Service.
- **Support Activities:** Infrastructure, HR, Technology Development (crucial for E-commerce), and Procurement.

## 6. Business Models (Participants)

- **B2C:** Business to Consumer (Daraz, Netflix).
- **B2B:** Business to Business (Alibaba, Walmart's Retail Link, **e-GP Portal BD**). *Largest volume globally.*
- **C2C:** Consumer to Consumer (OLX, eBay, Facebook Marketplace). Challenge: **Trust**.
- **C2B:** Consumer to Business (Upwork/Fiverr freelancers, Influencers).
- **G2C/B2G:** Government models (NID services, e-Tax filing, e-GP portal).

## 💡 Final Minute Tips

- **Bangladesh Context:** Always mention **bKash** (MFS), **Daraz/Chaldal** (B2C), and **e-GP** (B2G) in your descriptive answers.
- **Amazon Case:** Remember Amazon uses *multi-sided* revenue models: Retail (Sales), Marketplace (Transaction fees), Prime (Subscription), and AWS (Infrastructure).